Retail Equity Research

CreditAccess Grameen Ltd.

NBFC– MFI

BUY

12 Months Investment Period | Rating as per Mid Cap

BSE CODE : 541770 | NSE CODE: CREDITACC
BLOOMBERG CODE: CREDAG:IN | SENSEX : 73,503

CMP Rs. 1,323 | TARGET Rs.1,560 | RETURN 18%
(Closing: 11-03-24)

KEY CHANGES: *TARGET* ↓ *RATING* ↑ *EARNINGS* ↑

Strong growth outlook with premium ROA

CreditAccess Grameen Ltd. (CAGL) is one of the leading Microfinance NBFCs in India with a high focus on group lending and retail finance, with the majority of its operations in South India.

- **The Gross Loan Portfolio (GLP) experienced robust growth at 31.5%YoY, reaching Rs. 23,382cr, accompanied by a 19.2%YoY increase in Active Borrowers to 46.93lakh.**
- **Advances are expected to grow at a CAGR of 25% during FY25-26, backed by strong customer addition.**
- **The Net Interest Margin (NIM) is expected to remain between 12.5-13%, supported by a favourable credit rating adjustment by CRISIL from A+ to AA-. This upward revision positions CAGL as the highest-rated standalone microfinance company.**
- **The GNPA and NNPA increased to 0.97% and 0.29%, respectively, up from 0.77% and 0.24% in the previous quarter, primarily attributed to delinquencies resulting from the flood in Tamil Nadu.**
- **We believe that the growth momentum will continue in the coming quarters, and the company will be able to register premium return ratios. Hence, we give a Buy rating with a revised upward target price of Rs. 1,560, based on a 2.4x FY26E Adj. BVPS.**

Upgradation in CBS to Drive Further Enhancement of GPL

In Q3FY24, the Gross Loan Portfolio (GLP) exhibited robust growth, surging by 31.5%YoY to Rs.23,382cr. The total number of borrowers increased by 19.2% YoY to 46.93lakh. The momentum is anticipated to persist in the upcoming years, with the management guiding for a growth rate of 24-25% during FY24-25. CAGL has initiated a technology upgrade for its Core Banking Solution (CBS) to facilitate scalability in the future. A slight deceleration in disbursement growth was observed in the current quarter, primarily attributable to the temporary slowdown in branch activity caused by the CBS upgrade. CAGL also aims to diversify its assets with a non-MFI mix of 10-15% in the coming years.

Guided for ROA of ~5.5% for FY25

Net Interest Income (NII) grew by 48.5%YoY due to a 45.6% increase in interest income, while interest expenses grew by 40.5%. The reported portfolio yield of CAGL declined 10bps to 21% during the quarter as a result of portfolio repricing. While the rate of new disbursements stood at 21.8%. The weighted average cost of borrowing stood stable at 9.8%. The marginal cost of borrowing, however, increased 10 bps sequentially to 9.7%. The reported NIM remained stable sequentially and grew 120bps YoY to 13.1%. The company reported a strong growth of 64.2%YoY in net profit at Rs.353.4cr. ROA for the quarter stood at 5.5% and ROE at 23.6%. Management has maintained their FY25 guidance for ROA between 5.4%-5.6%.

Transient Disruption in Asset Quality

During Q3, the collection efficiency (excluding arrears) achieved a notable 98.3%. However, there was a concerning increase in GNPA, rising from 0.77% to 0.97% compared to the previous quarter. Additionally, the NNPA experienced a slight deterioration of 5 basis points, reaching a total of 0.29%. The minor upswing in NPAs is primarily attributed to the impact of floods in Tamil Nadu. Despite credit costs for 9MFY24 standing at 1.4%, the management projects FY25 credit costs to fall within the range of 1.6% to 1.8%.

Outlook and valuation

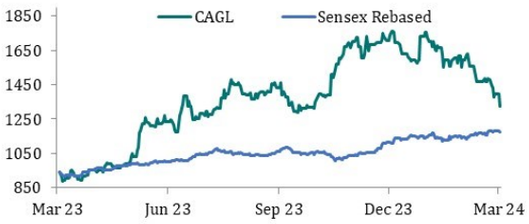
CAGL exhibited consistent efficiency in disbursement and collection during the quarter. Though the company faced a slight slowdown in disbursement growth, we expect it to keep up its growth momentum and continue to register premium return ratios; hence, we upgrade our rating to Buy with a revised target price of Rs.1,560, based on 2.4x FY26E Adj. BVPS.

Company Data	
Market Cap (Rs cr)	21,068
Outstanding Shares (cr)	15.9
Free Float(%)	33.0
Dividend Yield(%)	0.0
52 week high (Rs)	1,794
52 week low (Rs)	876
6m average volume (lakh)	7.1
Beta	0.8
Face value (Rs)	10.0

Shareholding (%)	Q1FY24	Q2FY24	Q3FY24
Promoters	66.7	66.7	66.7
FII's	9.6	11.4	12.0
MFs	11.9	15.8	15.8
Public/Others	11.8	6.1	5.5
Total	100.0	100.0	100.0
Promoter pledge	-	-	-

Price Performance	3 Month	6 Month	1 Year
Absolute Return	-25.0%	-6.1%	40.1%
Absolute Sensex	5.7%	8.9%	24.3%
Relative Return*	-30.8%	-15.0%	15.8%

*over or under performance to benchmark index



Consol. (Rs cr)	FY24E	FY25E	FY26E
NII	3,128	3,589	4,272
Growth	*47.9*	*14.8*	*19.0*
NIM(%)	13.0	12.5	12.5
Provisions	482	413	362
Adj. PAT	1,434	1,686	2,114
Growth	*73.6*	*17.6*	*25.3*
Adj. EPS	90.1	105.9	132.8
Growth	*73.3*	*17.6*	*25.3*
BVPS	411	517	650
Adj BVPS	407	513	645
P/E	14.7	12.5	10.0
P/B	3.22	2.56	2.04
ROA(%)	5.8	5.5	5.6
ROE (%)	24.6	22.8	22.8

Quarterly Financials

(Rs cr)	Q3FY24	Q3FY23	YoY Growth (%)	Q2FY24	QoQ Growth (%)	9MFY24	9MFY23	YoY Growth (%)
Interest Income	1,244	855	*45.6*	1,187	*4.8*	3,537	2,362	*49.7*
Interest Expense	442	314	*40.5*	424	*4.2*	1,250	867	*44.2*
Net Interest Income (NII)	803	541	*48.5*	764	*5.1*	2,287	1,495	*52.9*
Fee and Other Income	51	55	*-7.4*	60	*-15.5*	177	122	*44.5*
Total Income	854	596	*43.4*	824	*3.6*	2,463	1,617	*52.3*
Expenditure	252	216	*16.6*	261	*-3.5*	755	614	*23.0*
Pre-Provision Profit	602	379	*58.6*	563	*7.0*	1,708	1,004	*70.2*
Provision	126	89	*41.1*	96	*31.7*	298	296	*0.9*
PBT	476	290	*64.0*	467	*1.9*	1,410	708	*99.2*
Tax	122	75	*63.5*	120	*2.1*	361	178	*102.7*
Reported PAT	353	215	*64.2*	347	*1.8*	1,049	530	*98.0*
Adjustment	-	-	-	-	-	-	*5.8*	-
Adj. PAT	353	215	*64.2*	347	*1.8*	1,049	524	*100.2*
Diluted EPS (Rs)	22.20	13.78	*61.1*	21.81	*1.8*	65.9	33.6	*96.4*

Change in Estimates

	Old estimates		New estimates			Change %	
Year / Rs cr	**FY24E**	**FY25E**	**FY24E**	**FY25E**	**FY26E**	**FY24E**	**FY25E**
Net Interest Income (NII)	2,749	3,392	3,128	3,589	4,272	*13.8*	*5.8*
Net Interest Margin (%)	11.5	11.5	13.0	12.5	12.5	*154bps*	*154bps*
Pre-Provision Profit	2,003	2,478	2,406	2,662	3,181	*20.1*	*7.4*
Adj. PAT	1211	1524	1434	1686	2114	*18.4*	*10.7*
Diluted EPS (Rs)	76.2	95.9	90.1	105.9	132.8	*18.2*	*10.5*

PROFIT & LOSS

Y.E March (Rs cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Interest Income	2,567	3,327	4,857	5,678	6,691
Interest Expense	984	1,213	1,729	2,088	2,418
Net Int. Income	**1,583**	**2,114**	**3,128**	**3,589**	**4,272**
Change (%)	*16.3*	*33.5*	*47.9*	*14.8*	*19.0*
Non Int. Income	183	224	267	312	361
Total Income	1,766	2,338	3,395	3,902	4,634
Operating Expenses	688	831	989	1,240	1,453
Pre Prov. Profit	**1,078**	**1,506**	**2,406**	**2,662**	**3,181**
Change (%)	*13.2*	*39.8*	*59.7*	*10.6*	*19.5*
Prov. & Conting.	597	401	482	413	362
PBT	**481**	**1,105**	**1,925**	**2,249**	**2,818**
Change (%)	*166.5*	*129.9*	*74.1*	*16.8*	*25.3*
Tax	124	279	491	562	705
Tax Rate (%)	25.7	25.3	25.5	25.0	25.0
Reported PAT	357	826	1,434	1,686	2,114
Minority Interest	-6	-	-	-	-
Adj. PAT	**363**	**826**	**1,434**	**1,686**	**2,114**
Change (%)	*170.9*	*127.5*	*73.6*	*17.6*	*25.3*
No. of shares (cr)	15.6	15.9	15.9	15.9	15.9
EPS (Rs)	23.3	52.0	90.1	105.9	132.8
Change	*170.5*	*123.0*	*73.3*	*17.6*	*25.3*
DPS (Rs)	-	-	-	-	-

BALANCE SHEET

Y.E March (Rs cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Cash & bank balances	1,761	1,436	1,698	1,747	2,223
Loans & Advances	14,765	19,043	23,824	29,655	36,961
Investments	1	455	1,136	1,364	1,514
Gross Fixed Assets	91	116	146	179	218
Net Fixed Assets	32	32	56	65	73
CWIP	-	-	-	-	-
Intangible Assets	150	130	102	90	80
Def. Tax (Net)	-	81	-	-	-
Other Assets	773	680	781	861	971
Total Assets	**17,482**	**21,858**	**27,597**	**33,781**	**41,822**
Deposits	-	-	-	-	-
Debt Funds	12,921	16,312	20,488	24,910	30,678
Other Liabilities	394	402	524	593	739
Provisions	-	37	43	50	63
Equity Capital	156	159	159	159	159
Reserves & Surplus	4,011	4,948	6,382	8,069	10,182
Shareholder's Funds	4,167	5,107	6,541	8,228	10,341
Total Liabilities	**17,482**	**21,858**	**27,597**	**33,781**	**41,822**
BVPS (Rs)	**267.5**	**321.3**	**410.9**	**516.9**	**649.7**
Change(%)	*6.9*	*20.1*	*27.9*	*25.8*	*25.7*
Adj. BVPS (Rs)	253.5	314.7	407.0	513.2	645.1
Change(%)	*1.4*	*24.1*	*29.3*	*26.1*	*25.7*

RATIOS

Y.E March	FY22A	FY23A	FY24E	FY25E	FY26E
Profitab. & Return					
Interest yield (%)	17.9	18.4	20.0	19.8	19.5
Cost of funds (%)	8.2	8.3	9.4	9.2	8.7
Spread(%)	9.7	10.1	10.7	10.6	10.8
NIM (%)	10.5	11.1	13.0	12.5	12.5
ROE (%)	9.0	17.8	24.6	22.8	22.8
ROA(%)	2.2	4.2	5.8	5.5	5.6
Business Growth					
Loans & Advances (%)	26.0	29.0	25.1	24.5	24.6
Borrowings (%)	18.1	26.2	25.6	21.6	23.2
Operating Ratios					
Cost to Income (%)	39.0	35.6	29.1	31.8	31.4
Capital Adequacy					
CAR (%)	22.8	23.6	25.1	27.1	27.7
Asset Quality					
GNPA (%)	3.6	1.2	0.7	0.6	0.6
Valuation					
P/E (x)	56.7	25.4	14.7	12.5	10.0
P/B (x)	4.9	4.1	3.2	2.6	2.0
Adj. P/B (x)	5.2	4.2	3.2	2.6	2.0

Recommendation Summary (Last 3 years)

Dates	Rating	Target
14 September 20	Buy	824
10 November 20	Accumulate	824
10 May 21	Buy	767
25 August 21	Buy	775
10 February 22	Accumulate	850
02 June 22	Hold	1,158
16 August 23	Accumulate	1,615
11 March 24	Buy	1560

Source: Bloomberg, Geojit Research.

Investment Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	**Upside is above 10%**	**Upside is above 15%**	**Upside is above 20%**
Accumulate	**-**	**Upside is between 10%-15%**	**Upside is between 10%-20%**
Hold	**Upside is between 0% - 10%**	**Upside is between 0%-10%**	**Upside is between 0%-10%**
Reduce/sell	**Downside is more than 0%**	**Downside is more than 0%**	**Downside is more than 0%**
Not rated/Neutral			

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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